

Essentials of the HUD Program

Navigating ELV,
The Enterprise Income Verification System

ZEFFERT & ASSOCIATES

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Navigating The Enterprise Income Verification System

The Purpose of This Training...

is to provide an overview of the Enterprise Income Verification system (EIV) for HUD subsidized properties. EIV is outlined in Chapter 9 of the HUD Handbook.

The Site and Compliance Manger's Role

Good site managers are vitally important. They must maintain and document on-going compliance. Failure to maintain compliance can result in the loss of HUD funding and housing for the people who need it most.

Where We Get Direction

Abbreviation (and format) used in the references

Legal Authority

- HUD Regulations

24 CFR (reg#)

Formal Guidance

- HUD Handbook 4350.3
Occupancy Requirement of Subsidized
Multifamily Housing Programs

4350.3 (paragraph / page#)

- HUD Notices

Notice H (year / #)

Other Symbols Used in this Manual



UPDATE: CHG 4

Change 4 updates are highlighted in this HUD update box.

The Basics of EIV

Enterprise Income Verification "EIV"

4350.3 9-4 to 9-6 / 9-2 to 9-4

The use of EIV has been required of Owners/Agents since 1/31/2010. The purpose of the EIV system is to ensure that only eligible individuals receive assistance and to eliminate tenant fraud.

EIV accomplishes this goal by collecting periodic income data from:



Social Security Administration:

- Social Security, SSI, Medicare premiums, Disability status, Dual Entitlement

National Directory of New Hires (NDNH) – Health & Human Services:

- New Hires W4
- Quarterly federal and non-federal wages
- Quarterly unemployment compensation

EIV Updates

Social Security information is updated quarterly:

Figure 9-2 Schedule of SSA Update

Group	Recertification Month	Months Data is Refreshed in EIV
I	April, May, June, July	January, April, July, October
II	August, September, October, November	February, May, August, November
III	December, January, February, March	March, June, September, December

The cost of living adjustment (COLA) will not show in EIV until the end of the calendar year. All recertifications effective after April 1 must reflect the SSA benefit that includes the COLA. NDNH New Hires W4 data is updated monthly, as are wage and unemployment data for newly admitted tenants. Wage and unemployment data are updated quarterly.

4350.3 9-6.C / 9-6 3-11.A / 3-23

The various agency databases share details based on key information called personal identifiers or personally identifiable information (PII).

EIV Personal Identifiers	Important Reminder
• Last name • Date of Birth or DOB • Social Security Number or SSN	Each adult household member (18+) must sign the consent forms before Owners/Agents access income/unemployment information.



UPDATE: CHG 4

Use of EIV to Project Anticipated Income

4350.3 5-5.A.3 / 5-4 to 5-6

- Provides third-party verification of the **existence** of employment and unemployment benefits, but it is **not the basis for income calculations**. Paycheck stubs or other documentation must be supplied.
- Provides third-party verification of **existence** of SS payment and **is used for income calculations**.
- If the tenant disputes, third-party verification must be obtained from the source.

Policies and Procedures

4350.3 9-21.B / 9-36 to 9-37

Owner/agents are required to develop written policies and procedures to govern the use of the EIV system. These procedures should address:

- Authorized use of the EIV system
- How to manage security breaches
- Destruction of EIV data

Confidentiality

4350.3 5-19 / 5-62 to 5-63

Only necessary information should be gathered in the file. Severe HUD and civil penalties apply if information is issued or disclosed to unauthorized persons.

Unauthorized Persons Examples

- Employees who do not “need to know”
- Other residents

Who Can See EIV Data?

4350.3 9-17 / 9-31 to 9-33

EIV data for an adult household member cannot be shared without consent of the adult. This includes other household members – even spouses. However, the total income and how the rent was calculated MAY be discussed with the head of the household.

Exhibit 9-4

A tenant may have someone assist them with the application or recertification process. These can include Service Coordinators, translators, and assistants for the elderly/disabled, guardians, powers of attorney or other family members. They may sign a consent for that person to see their personal EIV data only. Exhibit 9-4 is a sample release form. Limited, allowable, official disclosure includes Contract Administrators and Independent Public Auditors (IPA) hired by the Owner/Agent to perform financial audits and OIG investigators.



UPDATE: CHG 4

4350.3 5-20 / 5-63

Owners may only use EIV information for intended purposes and may not share it with other government entities, i.e., LIHTC or RD monitors.

4350.3 5-23.C / 5-64 to 5-65

EIV data may not be shared with other adult household members without written consent.

4350.3 4-22.E / 4-47

Reminder: When a tenant or applicant wants EIV data released to others, there are additional disclosure requirements. These are discussed in Chapter 9.

Physical Safeguards

4350.3 9-21.C / 9-37 to 9-38

Steps must be taken to ensure that EIV data is safe whether stored electronically or as a hard copy.

Electronic Storage

- EIV data stored electronically must be in a restricted access directory
- If placed on portable media, it must be labeled appropriately and encrypted using a National Institute of Standards and Technology (NIST)-compliant vendor
- Emails containing EIV data must be encrypted using a NIST-compliant vendor
 - Do not include full SSN for tenants or applicants in emails

Hardcopy EIV Data

- Do not leave printed EIV data unattended
- EIV documents should be retrieved as soon as they are printed and, if possible, use a restricted printer, copier or fax machine
- If faxing EIV data, confirm there is someone waiting to immediately retrieve the fax
- When mailing EIV data, it must be sent to the Owner/Agent
- EIV data must not be mailed to IPA offices

Computer Security

While the EIV system will time out after 30 minutes of inactivity, this automatic safeguard should not be the only security measure taken.

- Use a password-protected screensaver; lock the computer when leaving the workspace
- Do not leave a computer unattended with EIV data displayed on the screen
- Exit EIV by clicking on "logout" at the top right corner of screen

Record Retention

4350.3 9-14 / 9-28

- **Master EIV File:** Reports must be kept for three years after they are run
- **Applicant Files:** If applicant doesn't move in, information must be kept for three years
- **Tenant Files:** Information must be kept for three years beyond the end of tenancy

Data Destruction

4350.3 9-21.C.4 / 9-38

Once it has served its purpose and met HUD's required retention timeframes, the reports must be destroyed.

Examples: burn, pulverize, shred



Required Forms

4350.3 3-11 / 3-23 to 3-24 **4350.3 4-24.B.13 / 4-49**

Prior to accessing any employment or income information from EIV for initial certification or annual recertification, all adult household members (applicant or existing tenant ages 18 and older) must sign and date the following:

- HUD-9887-A Fact Sheet
- HUD-9887
- HUD-9887-A
- Relevant verification forms

Additionally, each household must be provided with the "Resident Rights and Responsibilities" brochure and the "EIV & You" brochure.

EIV and MOR

A list of required EIV documents will be provided by the reviewer prior to the Management & Occupancy Review (MOR). This list generally will include:

- An initial and current approved EIV Coordinator Access Authorization form with supporting recertification documents (CAAF)
- An initial and current approved EIV User Access Authorization form with supporting certification documents (UAAF)
- Owner's approval letter authorizing access to EIV
- EIV Policies and Procedures (included use and security policies)
- Signed copies of the EIV Rules of Behavior for individuals without access to the EIV system
- Copy of TRACS Rules of Behavior, signed and dated
- Documentation demonstrating that staff with access to EIV system or reports has taken the required security awareness training
- Tenant Consent for Disclosure of EIV information signed by the tenant and a third party when a third party assists in the recertification project

Navigating The Enterprise Income Verification System

EIV Reports

EIV reports are broken down into two categories: Verification Reports and Income Reports. There is also a Summary Report.

		Frequency				
	Name of Report	Application	Monthly	Recertification	Quarterly	Per P&P
Verification Reports	Existing Tenant Search	X				
	Failed EIV Pre-Screen Report		X			
	Failed Verification Report		X			
	Multiple Subsidy Report				X	
	Deceased Tenant Report				X	
Income Reports	Summary Report					
	Income Discrepancy Report			X		X
	Income Report			X		X
	No Income Reported on 50059					X
	No Income Reported by HHS/SSA					X
	New Hires Report				X	

Existing Tenant Search Report

4350.3 9-12.A / 9-22

This report will identify applicants who may be receiving rental assistance at another HUD multi-family or Public Housing Authority (PHA) property at the time of application.

What Do We Do With This Information?

If the report indicates that the applicant or a member of the household is receiving assistance at another property, let the applicant explain the circumstances surrounding the assistance, i.e., a shared child custody situation. Follow up with the PHA or Owner/Agent where the applicant is identified as receiving assistance and verify their status.

Application File:

- Keep the search results, along with the application
- Keep any additional documentation obtained supporting the results
- The above must be maintained with the application for three years



Tenant File:

- If the tenant moves in, maintain the above for the term of tenancy plus three years

How Often Do We Run It?

- At household application



UPDATE: CHG 4

4350.3 4-24.B.2 to 4-24.B.13 / 4-48 to 4-49

The applicant interview must include education on EIV issues. This includes:

- Information on the Existing Tenant Search
- Explain employment and income information from the SSA and NDNH databases will be compared to information provided by other federal, state or local agencies
- "EIV & You" and "Resident Rights and Responsibilities" brochures

Failed EIV Pre-Screening Report

4350.3 9-12.C.1 / 9-24 to 9-25

The purpose of this report is to identify tenants who have missing or invalid personal identifiers in TRACS.

What Do We Do With This Information?

Until all missing or invalid personal identifiers (including SSNs to replace a TRACS-generated ID) have been corrected in TRACS, information for these tenants cannot be submitted to SSA through EIV for the SSA identify test. If invalid, first check to see if the data was properly entered into the system, i.e., transposed numbers in SSN or DOB. Follow up with the report-identified tenants to obtain any missing or incorrect data. Those exempt from SSN disclosure will show up as "Failed" and the reason should be noted on the report.

Master File:

- A copy of the report
- Document what action was taken to resolve discrepancies
- If report includes tenant who is exempt from SSN disclosure, note the report (for elderly)
- If tenant information is correct at recertification but EIV has not yet been updated, this must be noted on the printed report; no further action required
- The above must be maintained in the master file for three years

Tenant File:

- Documentation used to verify the discrepant identifiers
- Must be maintained in tenant file for the term of tenancy plus three years

How Often Do We Run It?

- Monthly: when running for recertification month, select "All;" data must be corrected within 30 days of report

Failed Verification Report

4350.3 9-12.C.2 / 9-25

The purpose of this report is to identify tenants whose personal identifiers do not match the data in the SSA database.

What Do We Do With This Information?

It's important to first verify the accuracy of the data entry and ensure the information was entered correctly. Follow up with any tenants identified on this report to confirm the information provided and obtain supporting documentation.

If the information provided by the applicant and reported on the 50059 are determined to be inaccurate, encourage the tenant to contact the SSA to correct any inaccurate data in their database. The tenant can request SSA to correct their record by completing and submitting Form SS-5 "Application for a Social Security Card" to the local SSA office.

Master File:

- A copy of the report
- Documentation as to what action was taken
- Must be maintained in the master file for three years



Tenant File:

- Documentation that was obtained to verify discrepancies found in the report
- Must be maintained in the tenant file for the term of tenancy plus three years

How Often Do We Run It?

- Monthly: when running for recertification month, select "All;" data must be corrected within 30 days of report

Multiple Subsidy Report

4350.3 9-12.B / 9-22 to 9-23

The purpose of this report is to identify existing tenants who may be receiving rental assistance at more than one location.

What Do We Do With This Information?

Follow up with any tenants identified on the report. Discuss if the results show they are receiving assistance at another location. They must be provided the opportunity to explain any circumstances relating to the additional assistance. Follow up with the PHA or Owner/Agent, if necessary, to confirm they are receiving assistance at the other location. Depending on the outcome, the Owner/Agent may need to take action to terminate their assistance or tenancy.

If a tenant's multiple subsidies are discussed and resolved at the time of recertification, this must be noted on the printed Multiple Subsidy Summary Report and no further action is required.

Tenants receiving assistance through the **Housing Choice Voucher** program may appear on the Multiple Subsidy Report; however, HUD does not consider them as receiving a double subsidy. In this case, note the report that the tenant has a Housing Choice Voucher and is not receiving a double subsidy, i.e., tenant is residing in a Section 236 unit and receiving rent assistance through the Housing Choice Voucher program.

Master File:

- A copy of the report with notation of action taken
- Maintain in the master file for three years



Tenant File:

- A copy of the detailed report for the tenant
- Supporting documentation of the action taken
- Maintain in the tenant file for the term of tenancy plus three years

How Often Do We Run It?

- At least quarterly: search with BOTH **MF** (multi-family) and **PIH** (Public Indian Housing)



UPDATE: CHG 4

4350.3 3-10.B & 3-10.C / 3-22 to 3-23

The EIV Existing Tenant Search report helps determine that new residents are not living at another HUD property or getting assistance. The Multiple Subsidy report helps ensure that this continues to be the case.

4350.3 3-21 / 3-65 to 3-67

These above reports must also be run for tenants with Housing Choice Vouchers.

Deceased Tenant Report

4350.3 9-12.D / 9-26 to 9-27

The purpose of this report is to identify tenants who are reported by the SSA as being deceased.

What Do We Do With This Information?

You should obtain written confirmation from the head of household, next of kin or emergency contact person as to whether or not the tenant is deceased. The tenant should contact the SSA directly if the data is incorrect.

If action was taken to remove the deceased tenant from the household or a move-out was processed for a single-member household but the EIV data has not yet been updated, this must be noted on the printed report and no further action is required.

If Deceased:

- Update household composition and income on the HUD 50059
- For a single-member household, process move-out; the effective date is retroactive to the earlier of 14 days after date of death or the date that the unit is vacated; any overpayment of subsidy must be returned to HUD; single-member deceased households are denoted on the report with a red asterisk after the deceased's name
- All discrepancies must be resolved within 30 days of the report date

Master File:

- A copy of the report with notation of actions taken
- Maintain in the master file for three years



Tenant File:

- 50059/50059-A
- Any supporting information
- Maintain in the tenant file for the term of tenancy plus three years

How Often Do We Run It?

- At least quarterly: when running the report at recertification month, select "All"

Summary Report

4350.3 9-11.A / 9-9 to 9-10

The purpose of this report is to provide a summary of information taken from the current, active certification in the TRACS file at the time of the income match. It also provides Identity Verification Status for each household member.

What Do We Do With This Information?

There are four verification statuses to identify:

1. **Verified:** personal identifiers (last name, DOB, SSN) match the SSA database
2. **Failed:** personal identifiers do not match the SSA database
3. **Not Verified:** personal identifiers have not yet been sent by HUD to SSA for validation or the validation is in process by SSA
4. **Deceased:** SSA's records indicate the person is deceased

The Owner/Agent must review and resolve the status of any household member(s) with a "failed" or "deceased" status. They must also use as verification that a tenant SSN has been "verified" by the SSA as being valid.

No action is required at recertification when the status is "Not Verified." However, the Owner/Agent must check the Failed SSA Identity Test report monthly, as changes in the Identity Verification Status for these tenants may occur.

Master File:

- N/A

Tenant File:

- A copy of the report(s) to be used as verification for all household members who verification status is "verified"
- Supporting documents received to resolve a tenant's "Failed" or "Deceased" status
- Documents for household members who are determined to be exempt from providing their SSN (for elderly)
- These must be maintained in the tenant file for term of tenancy plus three years

To minimize risk of disclosure of SSN, an owner may have a policy of destroying tenant-supplied documentation of SSNs (gathered at move-in or recertification) once the summary report shows the Identify Verification Status as "Verified."

How Often Do We Run It?

- At recertification, annual and interim: when running the report for recertification month, select "All;" data must be corrected within 30 days of the report

If the Summary Report in the tenant file shows an Identity Verification Status of "Verified" for all household members required to have an SSN, the Owner/Agent does not have to continue to print out the Summary Report at recertification, unless there is a change in household composition or in a household member's identity verification status.

Income Discrepancy Report

4350.3 9-11.C / 9-15 to 9-18

The purpose of this report is to identify discrepancies in reported household income. This report will identify any household:

- Where there is a difference of \$2,400 or more annually in the income reported in TRACS in effect at the time of the computer match and income reported by NDNH and SSA for the Period of Time (POI) used for the discrepancy analysis
- Whose income may have been underreported or overreported

Negative numbers = Potential underreporting of household income
Positive numbers = Potential decrease in household income

Income reported in TRACS includes	
TRACS Income Code	Type of Income
B	Business
F	Federal wages
M	Military pay
W	Nonfederal wage
U	Unemployment
SS	Social Security
SSI	Supplemental Security Income

Understanding POI (Period of Income)

- Effective date of action = Effective date of the active 50059
- Period of Income Start Date = 15 months prior to the effective date of the active 50059
- Period of Income End Date = 12 months from the Period of Income start date

What Do We Do With This Information?

The validity of all discrepancies noted on this report must be investigated. HUD does not expect the Owner/Agent to reconcile dollars to the penny when resolving these discrepancies.

- First, verify that the data was entered correctly
- Identify any income unreported, underreported or overreported by the tenant on the current or historical HUD-50059 forms
- Address and resolve any discrepancies with the household at the time of recertification or within 30 days of the report date

Example 1: Valid Discrepancy

The EIV Income Discrepancy Report shows the tenant had Reported Annual Wages and Benefits during the period of income used for the discrepancy analysis. However, there are no Projected Annual Wages or Benefits reported on the form HUD-50059. The Owner must investigate this to determine if the tenant did not report his/her income at the time of recertification. If the tenant did not report his/her income, this would be a valid discrepancy. The Owner must obtain third-party verification of the tenant's income, process corrected form HUD-50059(s) to include any unreported or underreported income, notify tenant of funds due and their obligation to reimburse the Owner, collect funds due from tenant and/or enter into a repayment agreement and reimburse HUD for funds collected from the tenant less the amount retained for pursuing collection. If not a valid discrepancy, the Owner will document the file with the result of the investigation supporting this determination.

Projected Annual Wages and Benefits from Form HUD-50059	\$0	
Period of Income for Discrepancy Analysis	06/01/2008 - 05/31/2009	
Discrepancy Analysis	Actuals	Annualized Last Quarter
Reported Annual Wages and Benefits from EIV Data:	\$22,018.70	\$19,518.57
Amount of Annual Income Discrepancy:	(\$22,018.70)	(19,518.57)
Amount of Monthly Income Discrepancy:	(\$1,834.89)	(\$1,626.55)
Percentage of Income Discrepancy:	(100%)	(100%)

Example 2: Valid Discrepancy

The EIV Income Discrepancy Report shows the tenant had Reported Annual Wages and Benefits during the period of income used for the discrepancy analysis of \$15,957.03 actual and \$17,210.18 annualized. The Projected Annual Wages reported on the form HUD-50059 are \$14,472.00. The annualized last quarter income exceeds the \$2,400 discrepancy threshold (\$17,210.18 - \$14,472.00 = \$2,738.18). The Owner must investigate this to determine if the tenant should have reported a cumulative increase of \$200 per month (\$2,400 annually) or more in the household's income. If the tenant should have reported the increase in income as required by his/her lease, this would be a valid discrepancy. If valid, the Owner would obtain third-party verification, process an interim recertification in accordance with Chapter 7, Paragraph 7-13.D of Handbook 4650.3 REV-1, notify tenant of funds due and their obligation to reimburse the Owner, collect funds due from tenant and/or enter into a repayment agreement and reimburse HUD for funds collected from the tenant less amount retained for pursuing collection. If not a valid discrepancy, the Owner will document the file with the result of the investigation supporting this determination.

Projected Annual Wages and Benefits from Form HUD-50059	\$14,472.00	
Period of Income for Discrepancy Analysis	06/01/2008 - 05/31/2009	
Discrepancy Analysis	Actuals	Annualized Last Quarter
Reported Annual Wages and Benefits from EIV Data:	\$15,957.03	\$17,210.18
Amount of Annual Income Discrepancy:	(\$1,485.03)	(\$2,738.18)
Amount of Monthly Income Discrepancy:	(\$123.75)	(\$228.18)
Percentage of Income Discrepancy:	9.31%	15.910000%

Example 3: Invalid Discrepancy

The EIV Income Discrepancy Report shows that the tenant had Reported Annual Wages and Benefits during the period of income used for the discrepancy analysis. However, there are no Reported Annual Wages or Benefits on the form HUD-50059 for the same period. The form HUD-50059 used in the discrepancy analysis was the tenant's move-in form HUD-50059. The Owner must investigate this discrepancy to determine if the tenant accurately reported his/her income at the time of move-in. If verification is received that the tenant was not working at the time of move-in and wages reported on the EIV income Report were earned prior to move-in, this would be an invalid discrepancy. No action is required of the Owner except to document the tenant's file of the findings as a result of the investigation.

Projected Annual Wages and Benefits from Form HUD-50059	\$0	
Period of Income for Discrepancy Analysis	06/01/2008 - 05/31/2009	
Discrepancy Analysis	Actuals	Annualized Last Quarter
Reported Annual Wages and Benefits from EIV Data:	\$10,341.38	\$7,507.72
Amount of Annual Income Discrepancy:	(\$10,341.38)	(\$7,507.72)
Amount of Monthly Income Discrepancy:	(\$861.78)	(\$625.64)
Percentage of Income Discrepancy:	(100%)	(100%)

Master File:

- N/A

Tenant File:

- Maintain a copy of the "Income Discrepancy Report"
- Any supporting documentation related to resolving the discrepancy, including third-party verification and repayment agreements (if required)
- Must be maintained in the tenant file for the term of tenancy plus three years
- This includes information on resolution of the discrepancy, regardless of whether the discrepancy was found to be valid or invalid

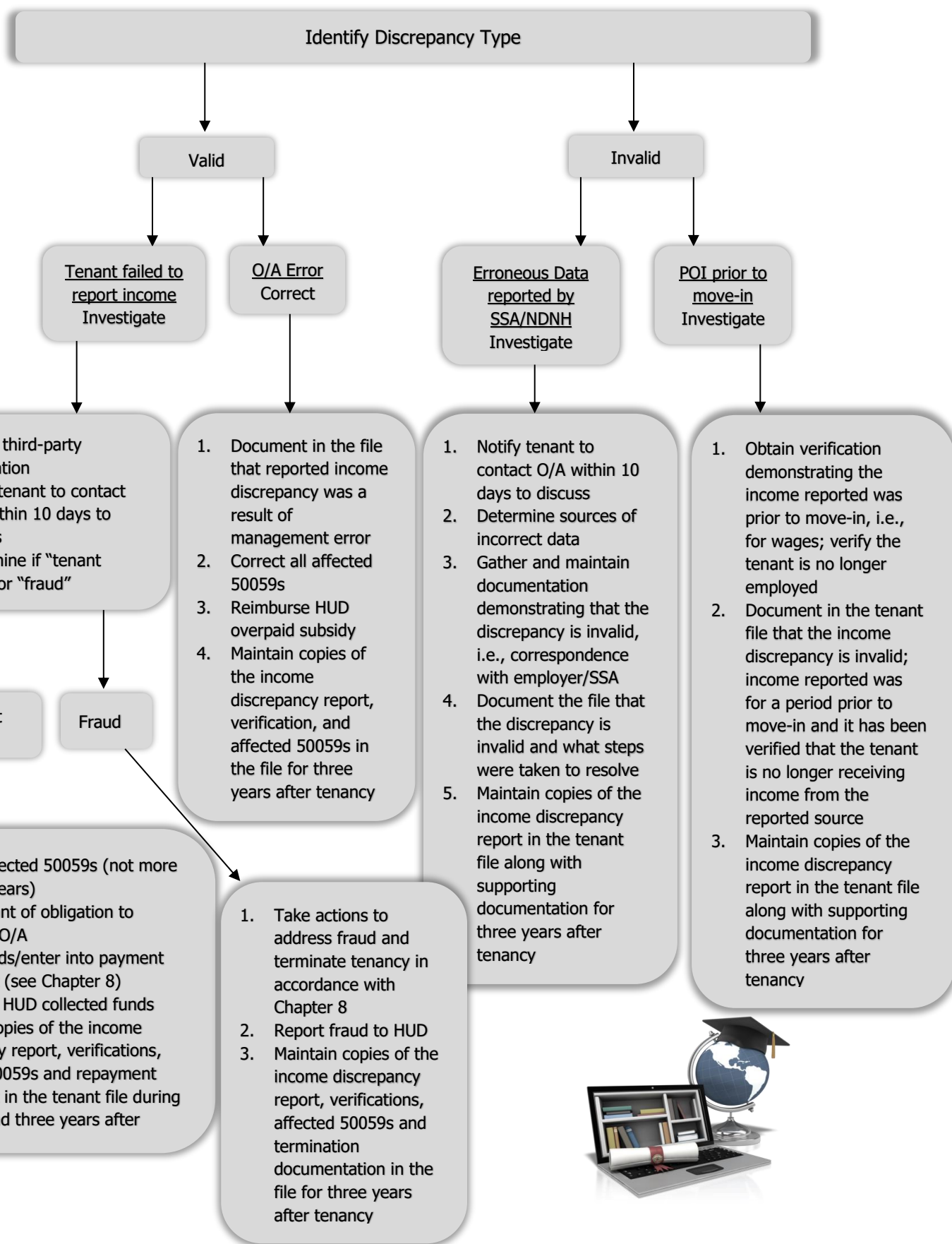
How Often Do We Run It?

- At recertification, annual and interim; may also be used at other times as indicated on the Owner/Agent policies and procedures



This report must be printed at the same time as the income report! This is important as each week a completely new report is generated based on the current information in the system for a tenant. The old report is overwritten with the current data.

Navigating The Enterprise Income Verification System



Income Report

4350.3 9-11.B / 9-10 to 9-15

The purpose of this report is to provide employment and income information that is reported by the NDNH and SSA for each household member that passes the SSA identity test. This report serves as third-party verification of income.

This report is a tool to help the Owner/Agent determine whether tenants have reported inaccurate income information. It will also provide an alert for household members that may be receiving multiple subsidies with this notation:

"This member may be receiving multiple subsidies. See the Multiple Subsidy Report for details."

This report provides the following information:

- TRACS certification information and tenant personal identifiers
- Employment information
- Quarterly wages
- Quarterly unemployment benefits
- Social Security benefits
- Dual Entitlement benefits
- Medicare data
- Supplemental Security Income (SSI) benefits
- SSA disability status

This report does not include other household income, such as welfare benefits and most pensions. Some employment income may also not be reported to EIV.

What Do We Do With This Information?

NDNH:



This is the income report identifying the NDNH employment, wage and unemployment income information system. It must be used as third-party verification of the tenant's employment, but it must not be used to calculate tenant income.

- Confirm with tenant that employment and/or unemployment information in the EIV system is correct
- If tenant agrees that employment and/or unemployment information in the EIV system is correct, the Owner/Agent must:
 - Request the tenant to provide documentation (i.e., paycheck stubs) that will support their current income received
 - Use tenant-provided documentation for determining the tenant's income unless additional information is needed or the Owner/Agent has reason to reject the tenant-provided documentation; in these instances, third-party verification must be obtained from the income source
 - Annualize tenant income using current income projected for the next 12 months
- If tenant disputes EIV data or says they have income that does not show up in the EIV system, third-party documentation must be obtained

Navigating The Enterprise Income Verification System

Social Security Benefits:



The Income Report identifying the Social Security benefit information in the EIV system must be used as third-party verification of the tenant's income. The report *will* be used to calculate the tenant's income. A copy of the award or benefit letter or Proof of Income Letter is not required unless the tenant disputed the SSA information in the EIV system.

- Print Income Report and use the report as third-party verification
- Confirm with tenant that the current benefit amount in the EIV system is correct
- If tenant agrees the SS benefit information reported in EIV is correct, use the gross benefit amount reported in EIV for calculating tenant's income; annualize the gross benefit amount projected for the next 12 months

Medicare:

Include the Medicare premium in the medical expense deduction calculation if the tenant pays the premium. If the Medicare premium is paid by the tenant, the amount of premium is listed under "Premium" and an "N" is in the "Buy-in" column of the Medicare data section of the Income Report.

Example:

	Premium	Buy-in	Buy-in Start	Buy-in Stop
Hospital Insurance	\$0.00	N	Not Available	Not Available
Supp. Med. Insurance	\$110.50	N	Not Available	Not Available

When the state or another entity pays the Medicare premium, there is a "Y" in the buy-in column. The date when the third party started paying the tenant's Medicare premium is included in the "Buy-in Start" column of the Medicare Data section of the Income Reports. **Example:**

	Premium	Buy-in	Buy-in Start	Buy-in Stop
Hospital Insurance	\$0.00	N	Not Available	Not Available
Supp. Med. Insurance	\$110.50	Y	10/10/09	Not Available

When the state or other entity stops paying the Medicare premium, there should be a date in the "Buy-in Stop" column of the Medicare Data section of the Income Report. **Example:**

	Premium	Buy-in	Buy-in Start	Buy-in Stop
Hospital Insurance	\$0.00	N	Not Available	Not Available
Supp. Med. Insurance	\$110.50	Y	10/10/09	03/01/10

Navigating The Enterprise Income Verification System

The SSA does not provide information about garnishments or other deductions like Medicare Part D (prescription drug) premiums. As these may reveal allowable deductions toward adjusted income, differences between gross and net SS that exceed the Medicare premium should be discussed with the tenant.



NOTE: The disability information provided by EIV is not always accurate and should NOT be used to verify disability status for a HUD program or elderly household deduction.

If the tenant disputed the SSA information reported in EIV or if the tenant reports he/she receives SSA benefits but there is no SSA information reported by EIV, then third-party verification must be completed. The Owner/Agent must request the tenant provide a copy of their benefit or award letter dated within 120 days of receipt by the Owner/Agent. The Owner/Agent must not send the tenant to the SSA office if they do not have this information. Instead, the Owner/Agent must ask the tenant to request benefit information from SSA using SSA's website or toll-free number.

All discrepancies must be resolved within 30 days of the report.

Tenant File:

The documentation to be maintained depends on one of these three outcomes:

- **No dispute of EIV information:** EIV Income Report, current acceptable tenant-provided documentation and if necessary (as determined by the Owner/Agent), third-party verification from the source
- **Dispute EIV information:** EIV Income Report and third-party verification from the source for the disputed information
- **Tenant-reported income not verified through EIV system:** EIV Income Report, current acceptable tenant-provided documents and/or third-party verification from the source

How Often Do We Run It?

- At recertification (annual and interim)
- May be used at other times as indicated in your policies and procedures
- New Admissions: Review new move-ins within 90 days after the move-in information is transmitted to TRACS to validate the income reported by the household

Overview: Additional Income Reports

4350.3 9-11.D.1 / 9-19

There are three additional reports that must be used.

- No Income Reported on 50059
- No Income Reported by HHS or SSA
- New Hires Reports

These reports can be accessed from the "Monthly Summary Report" when querying by project number and/or contract number. If the report name is underlined, this indicates it is an active link. Just click on the report name to obtain data about households identified where no income was reported or where a household member is reported as having new employment.

Monthly Summary Report		
Contract(s)	XX22111122	
Recertification Month	All	
Report Type	Number of Households	Number of Members
Income Report	66	91
Income Discrepancy Report	22	
<u>No Income Reported on 50059</u>	1	2
<u>No Income Reported by HHS or SSA</u>	5	7
<u>New Hires Report</u>	12	12

Caution: Reports retained in a tenant file must only contain information for members of that tenant's household. Many EIV reports do not have page breaks between households. Owners will need to separate the reports by household by cutting the reports apart until page breaks are inserted in the EIV system.

No Income Reported on 50059

4350.3 9-11.D.1.a / 9-19

The purpose of this report is for the Owner/Agent to use as a tool to identify tenants who passed the identity match against SSA's records, but have zero income represented in the TRACS system.

What Do We Do With This Information?

Owners/Agents must use this report only as identified and described in their policies and procedures. Owners/Agents are not required to retain copies of this report.

How Often Do We Run It?

- As often as identified in the policy and procedures
- It's recommended that the Owner/Agent have a policy to run the report quarterly for households reporting zero income; when running the report for the recertification month, select "All"

No Income Reported by HHS/SSA

4350.3 9-11.D.1.b / 9-19 to 9-20

This report is a tool for the Owner/Agent to identify tenants who passed the identity match against SSA's records, but no employment or income information have been reported by HHS or SSA.

What Do We Do With This Information?

Owners/Agents must use this report only as identified and described in their policies and procedures. They are not required to retain copies of this report. Just because no income is reported as a result of the match against SSA and NDNH records does not mean the tenant does not have income. The Owner/Agent must make sure that at the time of recertification interviews, the right questions are asked so the tenants are given the opportunity to disclose any income they receive.

NOTE: It is recommended that Owners/Agents have a policy to verify the status of tenants reporting zero income at least quarterly. As part of the procedures for implementing the policy, the Owner/Agent must use the EIV Income Report to determine if the tenant or any family members have income reported by HHS or SSA.

How Often Do We Run It?

- As often as identified in the policy and procedures

New Hires Report

4350.3 9-11.D.1.c / 9-20 to 9-21

The purpose of this report is to identify tenants who have started new jobs within the last six months. The information in this report is updated monthly.

What Do We Do With This Information?

By reaching out to tenants who show up on this report promptly, retroactive recertification and repayment plans are reduced or eliminated. Use this report to determine if any tenants have started new employment that has not been reported by the tenant.

- Contact the tenant regarding their new employment
- Confirm the tenant has a new job and that the employment information in EIV system is correct
 - If the tenant **agrees** that the information in EIV is correct, request the tenant provide documents (paystubs) or third-party verification, if needed
 - If the tenant **disputes** the employment information in EIV, obtain third-party verification from employer
- Process a recertification that includes the new employment income

Master File:

- Copy of summary report with notations of action taken
- Maintain in master file for three years

How Often Do We Run It?

- At least quarterly; when running report for the recertification month, select "All"

Adjustment for Incorrect Income

4350.3 9-13 / 9-27 to 9-28

Underreported income must be paid back going back up to five years covered by the 9887 forms. Overreported income must be investigated if the discrepancy for the POI is \$2,400 or more. Be sure to watch for income that is exempt per Exhibit 5-1.

Workshop:
EIV Report Frequency

Check the appropriate box for the frequency for each EIV report.					
	Recertification	Application	Monthly	Quarterly	Per P&P
Existing Tenant Search					
Multiple Subsidy Report					
New Hires Report					
Deceased Tenant Report					
Summary Report					
Failed EIV Pre-Screen Report/Failed Verification Report					
Income Report					
Income Discrepancy Report					
No Income Reported on 50059/No Income Reported by HHS/SSA					

Correcting EIV Errors

When EIV Data is Incorrect

4350.3 9-16 / 9-29 to 9-30

- **TRACS** data can be corrected by the Owner/Agent
- **Employment data** that is incorrect should be reported by the tenant to the employer in writing; the employer can correct it with the State Workforce Agency (SWA), who reports it to HHS' NDNH database; the Owner/Agent should keep a copy of the notice on file
- **Unemployment benefit** errors should be reported by the tenant to the SWA directly; the Owner/Agent should keep a copy of the notice on file
- **SS and SSI** errors should be reported to SSA by calling 800-772-1213 or at the local SSA office.

Identity Theft

4350.3 9-16.E / 9-30

Incorrect data in EIV may be a sign of identity theft. Others may intentionally or unintentionally use their SSN. If a tenant suspects such theft, they should check with SSA, file an identity theft complaint with the Federal Trade Commission (FTC) and monitor their credit reports. The HUD Handbook provides further contact information for the involved agencies.

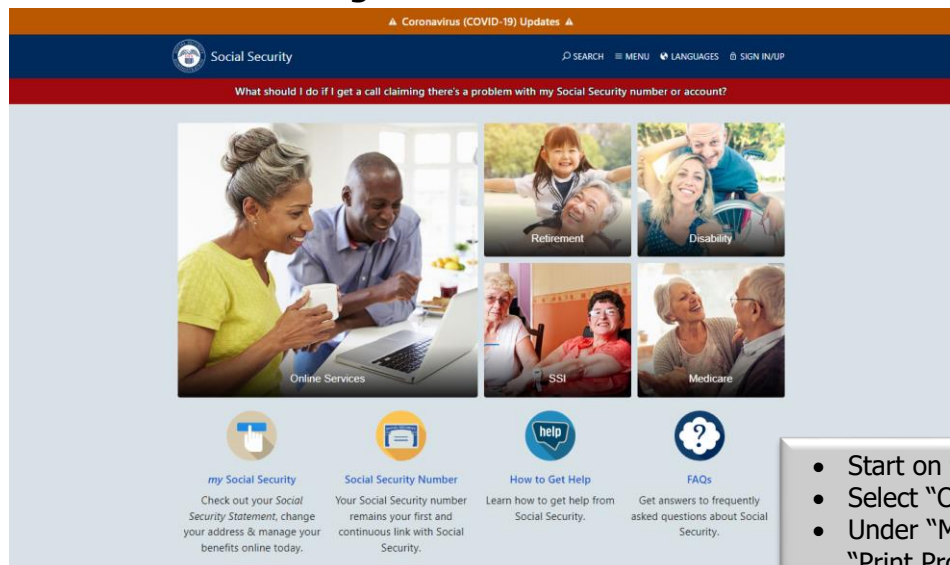
Requesting Information from SSA

4350.3 9-15 / 9-28 to 9-29

Tenants must not be referred to the local SSA office to get needed verifications. The SSA website or toll-free request line should be used to request a proof of income/benefits/award letter. The information is free to request and should be received by the tenant in the U.S. mail within 10 days.

- | | | |
|--|------------------|----------------------|
| • www.ssa.gov | • 1-800-772-1213 | • TTY 1-800-325-0778 |
|--|------------------|----------------------|

SSA Website as of August 2022



- Start on the top "MENU" tab
- Select "Online Services" (left-hand menu)
- Under "Manage Your Account," select "Print Proof of Benefits"
- Create account or sign in
- Follow the onscreen prompts

Assistance Repayment

Overpayment of Assistance

4350.3 8-21 / 8-29 to 8-31

If the tenant assistance amount is found to be incorrect and it's the tenant's fault, the tenant must reimburse overpayment (a payment plan should be set up). The Owner/Agent may pay HUD back as payments are received. Up to five years of overpayment may be collected.

If it is the Owner's/Agent's fault that the assistance payment was incorrect, the Owner/Agent must pay HUD back and cannot charge the tenant.



UPDATE: CHG 4

4350.3 8-21.A.2.5 / 8-30

Formerly, all overpaid assistance was to be repaid going as far back as the overpayment goes. Change 4 clarified that the repayment cannot go back more than the five years covered by the 9887 forms. HUD also removed the requirement that a household who originally didn't qualify be stripped of assistance even if they currently qualify.

4350.3 8-21.B.2 / 8-31

A portion of the amount collected can be kept by the Owner/Agent and kept in the operating account to recoup expenses to collect. This amount cannot exceed the lesser of:

- Actual cost
- 20% of amount collected

Records must be kept supporting costs retained. Examples of allowable costs include staff time to verify the overpayment, meeting with the tenant, drafting repayment agreements, generating and sending monthly invoices to tenant, generating manual voucher adjustments, collection agency fees (if applicable), and meeting state requirements.

Tenant Repayment Options and Agreements



UPDATE: CHG 4

4350.3 8-22 & 8-23 / 8-32 to 8-34

The following was added in two paragraphs in Change 4. EIV has made repayment of overpayment of assistance through repayment agreements much more common, resulting in the need for more guidance in this area.

Tenants may repay overpayments through a lump-sum payment, a set repayment schedule, or a combination. The tenant and Owner/Agent must both agree to the terms. A household may wish to consult with a HUD Housing Counseling Agency to assist them in reaching an agreement with the Owner/Agent. The plan must be affordable based on tenant income. The TTP plus the payment amount should not exceed 40% of the household income.

Example – Page 8-33

- Family monthly adjusted income is \$1,230
- Their monthly TTP is \$369 (30% of monthly adjusted income)
- 40% of the family's monthly adjusted income is \$492
- The monthly payments for the repayment agreement shouldn't exceed \$123/month

40% adjusted income: \$492

TTP: -369

\$123

Monthly TTP: \$369

Repayment +123

40% adjusted income \$492

Navigating The Enterprise Income Verification System

Repayment Time Period is the time frame for repayment by the tenant of the amount owed.

Example – Page 8-33

The tenant agrees to repay \$1,000 and agrees to monthly payments of \$25.
 $\$1,000/\$25 = 40$ months (time period)

Required in the Repayment Plan:

- The total amount owed, amount of any lump sum paid and the monthly payment
- Reference to the lease provisions whereby the tenant is in non-compliance and may be subject to termination of their lease
- A clause whereby the agreement can be renegotiated if there is a decrease or increase in family income of \$200 or more per month
- A statement that the monthly retroactive rent repayment amount is in addition to the family's monthly rent payment, and is payable to the owner
- A clause that late and missed payments constitute default and may result in termination of assistance and/or tenancy
- It must be signed and dated by the tenant and the owner

Owners must not apply a tenant's monthly rent payment towards the repayment amount owed, as that would result in an accumulation of late rent payments.

Overpayment of Rent

4350.3 8-24 / 8-34

If the tenant rent amount is found to have been too high, the tenant must be informed of the new rent and total amount of past overpayment. The tenant may choose a full, immediate refund or apply the overpayment to future monthly rent payments.

The notice to tenant may include:

- A notice of the change in rent, effective retroactively to when the error occurred
- The new monthly rent the tenant is required to pay
- The amount of the overpayment of rent due to the tenant; and
- A form for the tenant to execute and return to the Owner/Agent stating whether the tenant wishes to:
 - Receive a full, immediate refund; or
 - Apply the overpayment to future monthly rent payments



UPDATE: CHG 4

4350.3 8-24 / 8-34

Decreases in income of \$2,400 or more per year on the EIV Income Discrepancy Report run at a recertification may indicate a tenant has overpaid rent and must be investigated. Tenant reimbursement may be necessary.

Workshop: Repayments

The Linder household underreported income in error and the Owner-Agent must execute a repayment plan and calculate the resident's monthly repayment amount. The household's gross monthly income is \$1,300. Their monthly adjusted income is \$1,000.

Based on this information, the monthly repayment should not exceed: _____

The Waldorf household underreported income in error and the Owner/Agent needs to execute a repayment plan and calculate the resident's monthly repayment amount. The household's gross monthly income is \$1,000. Their monthly adjusted income is \$300.

The Owner/Agent determined the monthly repayment amount could not exceed \$30, which is calculated as follows:

$$\$300 \times 30\% = \$90$$

$$\$300 \times 40\% = \$120$$

$$\$120 - \$90 = \$30$$

Was the repayment amount calculated correctly? **Yes or No**

Fraud

Material Non-Compliance – Fraud

4350.3 8-13 / 8-11 to 8-17 **4350.3 8-18** / 8-24 to 8-26

Fraud must clearly NOT be simple tenant error or misunderstanding.

"Deceit or trickery deliberately practiced in order to gain some advantage dishonestly ... an intentional deception; it cannot be committed accidentally."

Proving actual fraud involves extensive documentation. When acting on fraud, the Owner/Agent must file a civil action against the tenant to recover subsidy overpayment (Owner/Agent may keep up to 20%). Criminal charges may also be brought. In cases of fraud, tenancy must be terminated.

Fraud must be substantiated through documentation. If this cannot be done, the Owner/Agent must treat it as an unintentional program violation. In cases of potential fraud, the tenant must be informed in writing of the error. The tenant must be allowed to schedule a meeting to discuss within 10 days.



UPDATE: CHG 4

4350.3 8-18.A / 8-24

EIV-reported discrepancies, deceased tenants and double subsidies are all useful tools in detecting fraud.

4350.3 8-18.C.1.c / 8-24

4350.3 8-20.2 / 8-28

Reports must be run, and any discrepancies acted on. Tenants must be given an opportunity to contest the EIV data and no benefit may be suspended, terminated, reduced or denied until appropriate steps are taken.

Workshop: Understanding EIV

What is the only EIV report that can be run without a signed HUD 9887/9887-A?

What is the time frame in which all discrepancies should be resolved?

An Authorization to Disclose must be signed in order to discuss with other family members information that is on an EIV Report for any household member over the age of 18? **Yes or No**

What two reports must be printed at the same time?

Rural Development and LIHTC Auditors can view EIV information. **True or False**

The Disability Status in EIV must not be used for verification purposes. **True or False**

A Few Words of Encouragement

We Do This Job Well...

Government reviews of HUD have shown improvement in accuracy and management. This means that the people on-site are learning and doing their jobs better than ever. These reviews led to HUD's removal from a list of high-risk agencies. It's a challenge to learn this program well, but the more effort something takes, the more gain is realized. HUD housing can be found in all states, and qualified personnel are in demand. Not all jobs provide some degree of job security and are also beneficial to society, and we strongly feel that affordable housing-related jobs are.